
AFME Position Paper

CRD 5/CRR2: Equity Investments in Funds

August 2017

Introduction

The banking industry makes substantial investments directly and indirectly in assets and investment projects. The mix of direct and indirect investments is in part to manage concentration risk, through maintaining exposures across a diversified pool of investments. Indirect investments through investing in units or shares of funds enables exposure to a wider, more diversified asset base at lower cost. As such, we welcome the CRR amendments which permit the use of the look-through approach, which ensures that the regulatory treatment / capital requirement for investing in a diversified fund is not more punitive than investing directly in those same assets. We do note however, that the application of the requirements have been restricted to UCITs and AIFs marketed in the EU and note our concerns in this area and our proposed recommendations.

Risk weights for investments in funds other than UCITs and AIFs

As per the draft CRR explanatory text, the draft CRR amendments related to equity investments in funds implement the Basel Committee on Banking Supervision's (BCBS) standard published in December 2013 (BCBS 266¹). The Industry believes however, that the draft CRR text diverges from the BCBS standard by restricting the look-through approach to UCITs and AIFs marketed in the EU (together 'collective investment undertakings' or 'CIUs'), and requires additional attention.

Equal Treatment of CIU and non-CIU funds

The European Commission's CRR proposal amends the definition of a CIU under Article 4(1)(7) by deleting the reference to non-EU AIFs and "funds subject to the law of a third country which applies supervisory and regulatory requirements at least equivalent to those applied in the Union". It is understood that it is the intention that third country funds are considered to fall under the AIF definition and that any equivalence requirements for such funds regulation are out of scope of CRR.

BCBS 266 applies to banks' investments in funds wherever they are established. However, according to Article 132 (3), institutions will not be able to apply the risk-based methods (the look-through approach (LTA) and mandate-based approach (MBA) as detailed under articles 132 and 152) to third country funds unless they have been marketed in accordance with Article 42 of the AIF Directive. The fall-back approach (1250% risk weight) would then apply to any investments in third country funds which have not been so marketed, or to investments in any EU funds which are neither UCITS nor the aforementioned AIFs.

¹ <http://www.bis.org/publ/bcbs266.pdf>

Particular investments which might be penalised with a 1250% risk weight in accordance with the current proposed text include:

- Investments in the form of UCITs and AIFs located in third countries, which would be eligible for the application of the LTA or the MBA if the funds were located in the EU.
- Investments in funds designed to provide growth capital to small and mid-sized companies or green initiatives both in Member States and in third countries, which for structural reasons might be neither UCITS nor AIFs.
- Investment of the surplus liquidity of non-EU subsidiaries in a local bond or liquidity fund which may not have been approved for marketing in the EU even though it might be heavily regulated in its home jurisdiction.
- Investments by US subsidiaries in Bank Owned Life Insurance – a common investment by US banks to hedge the cost of key person insurance which is usually structured as a collective investment scheme.
- Investment by in-house investment divisions in private equity funds outside of the EU, which provide opportunities for diversifying returns on capital at a group level.

Furthermore, Article 132(2) states that institutions may calculate the risk weighted exposure amounts for their exposures using a combination of approaches as per Article 132a. We believe it would be beneficial to include this statement in Article 132a, which describes the approaches for calculating risk weighted exposure amounts of CIUs, while further specifying that an institution can apply the LTA to the extent it has sufficient information to do so, with only the remaining portion of the underlying assets to be treated with one of the other approaches. In this respect, it would be beneficial to revise Article 132a (4) to mandate the EBA to draft regulatory technical standards specifying how the combination of approaches should be practically applied.

We also believe that there is no prudential rationale for requiring a fund to be regulated in a particular way or domiciled in a particular jurisdiction in order to permit institutions to use the LTA. What is important is that the institution knows with sufficient certainty the underlying assets contained in the fund. If the risk weight of the underlying asset is known, the use of the look-through approach will provide the most accurate measure of the fund's overall risk and ensure capital requirements are commensurate with the risk. Further, we note that under the market risk rules (Art 325k) a non-EU AIF can be looked-through regardless of whether it is marketed in the EU; and for the purposes of the rules relating to indirect holdings in Financial Sector Entities in Own Funds Part III² the regulatory status of a fund is irrelevant for look-through purposes. We do not believe it makes sense to apply different look-through standards in different areas of the rule book.

² Commission Delegated Regulation No 241/2014 of 7 January 2014 as amended by Commission Delegated Regulation (EU) 2015/923 of 11 March 2015 ... with regard to regulatory technical standards for own funds requirements for institutions – specifically the rules in article 15d relating to indirect holdings in financial sector entities.

In addition, the current proposed text gives rise to perverse incentives: a bank investing a small amount in a fund not qualifying for look-through under Art 132 would be required to apply 1250%, but by increasing the investment so that consolidation is required a bank would be forced to look through to the underlying assets under the consolidation rules and risk weight them accordingly. By increasing its risk, a bank could reduce its RWAs.

Where the quality of regulation of the fund *may be* of relevance is in the ability of the investor to rely on the attestation of the manager for details of the underlying investments rather than an independent third party. Where, therefore, a fund does not meet CIU or CIU-equivalent standards, it may be necessary to require an investor to obtain independent third party confirmation of the underlying investments (for example, from the custodian bank) in order to achieve look-through.

Therefore, in order to maintain consistency with the global bank capital framework designed by the BCBS, internal consistency within CRR2, and to avoid penalizing investments that do not meet narrow regulatory criteria, thus placing EU banks at a disadvantage to third country banks, the industry believes that *all* funds should be assessed using the same methodologies as EU CIUs to calculate their risk weights and the associated capital requirement:

- Where an institution has sufficient information about the individual underlying exposure of a fund, it should be able to look through to those exposures to calculate the risk-weighted exposure amount of the fund;
- Where an institution does not have sufficient information about the underlying individual exposures to use the look-through approach, it may calculate the risk-weighted exposure amount of those exposures in accordance with the limits set in the fund's mandate and relevant legislation.
- Institutions that do not apply the LTA or the MBA shall apply the fall-back approach i.e. a 1250% risk weight is assigned to the fund exposure.

While we strongly believe that penal treatment of investments in unregulated or third country funds is unwarranted, the Commission may want to retain some form of equivalence adjudication for the purposes of the risk based methods, for example for the application of the MBA or for the level of reliance placed on the manager for the LTA. Such adjudication could be under the AIF Directive, or could be implied by the equivalence determinations under CRR Art 107(4), or at the discretion of national competent authorities – provided that an equivalence adjudication by one NCA could be relied upon by institutions operating in other member states. Similarly if the Commission is of the view that investments in unregulated EU funds should be discouraged except in exceptional circumstances, the Commission may wish to delegate to NCAs the discretion to allow firms to apply the LTA or MBA to investments in specific funds which are of national importance or which perform a specific public good, again with the proviso that institutions in other member states should also be permitted to apply LTA or MBA to those funds.

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With reference to the eligibility criteria, Article 132 (3)(c) limits the ability to apply the approaches set out in Article 132a (LTA and MBA) to instances where the business of the CIU is reported at least as frequently as that of the investing institution. However, most immovable property and private equity funds report only on a half-yearly basis as per current regulation and this would disincentive institutions from engaging in these investments. The reporting eligibility criteria should therefore be deleted or amended to allow less frequent reporting. Moreover, since for the purpose of applying the LTA, the information should be verified by an independent third party, it should be specified that the asset manager is equivalent to an independent third party to ensure consistency with Basel's final standards.

Interaction with prudential framework

The draft CRR amendments make no mention of the treatment of derivative exposures as covered in the BCBS standards, and we ask that alignment is maintained with Basel in this area:

Derivative exposure

Paragraph 80(vii)(b) of the BCBS standard, which relates to the treatment of derivative exposures and off-balance sheet items when using the MBA, sets out that where these items have received a risk weighting treatment under Pillar 1, the notional amount of these items is risk weighted accordingly.³

Calculation of CVA

The BCBS standard requires firms to approximate CVA RWAs by first increasing the derivative counterparty credit risk exposure by 50%, and then applying the relevant risk weight. In contrast, the comparable text in the draft CRR 2 proposal allows firms to replace the **own funds requirements** for CVA at 50% of the derivative **exposure value**. This will result in an RWA 6.25x what is required by the BCBS standard. Take for example, a derivatives position with an exposure of 100. Assume the counterparty is risk-weighted at 100%. Under the BCBS standard, in order to calculate the RWA a firm would multiply the exposure by 1.5 before applying the risk weight – $(100 \times 1.5) \times 100\% = 150$. Under the CRR proposal, a firm must calculate its **own funds requirement** by multiplying the exposure value by 50% – $(100 \times 50\%) = 50$, which has an equivalent RWA of 625 (50/8%). Therefore, in order to avoid significant inflation CVA risk RWAs, the CRR text should be amended to reflect the BCBS standard.

³ Footnotes 10 and 11 of the BCBS standard are as follows:

¹⁰ If the underlying is unknown, the full notional amount of derivative positions must be used for the calculation.

¹¹ If the notional amount of derivatives mentioned in paragraph 80(vii) is unknown, it will be estimated conservatively using the maximum notional amount of derivatives allowed under the mandate.

Conclusion

The industry believes a harmonized approach to own fund requirements for equity investment in funds is desirable. Equal treatment of CIU and non-CIU funds allows banks to manage investment risk through maintaining exposures in diversified portfolios. Disincentivising non-CIU fund investments may lead to more direct investments, which would be counterproductive from a risk management perspective and lead to increased concentration risk. Additionally, it is believed that equal treatment would help ensure investments are retained at existing levels in non-CIU funds and that maintenance of this liquidity / project finance in the EU is important in helping to achieve its growth objective.

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About AFME

AFME represents a broad array of European and global participants in the wholesale financial markets. Its members comprise pan-EU and global banks as well as key regional banks, brokers, law firms, investors and other financial market participants. We advocate stable, competitive, sustainable European financial markets that support economic growth and benefit society. AFME is the European member of the Global Financial Markets Association (GFMA) a global alliance with the Securities Industry and Financial Markets Association (SIFMA) in the US, and the Asia Securities Industry and Financial Markets Association (ASIFMA) in Asia. AFME is listed on the EU Register of Interest Representatives, registration number 65110063986-76.

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